

HOW TO OPEN A HOME CARE AGENCY IN TENNESSEE

A step-by-step guide to licensing, staffing, funding, and running a non-medical personal support services agency in Tennessee.

What this guide is. A practical roadmap to opening a licensed non-medical home care agency in Tennessee — a personal support services agency (PSSA) under Tenn. Comp. R. & Regs. Chapter 0940-05-38. In Tennessee, non-medical home care (personal care, homemaker, sitter and companion, and in-home respite) is licensed by the Department of Mental Health and Substance Abuse Services (TDMHSAS), Office of Licensure — not by the Health Facilities Commission, which licenses skilled home health. If you plan to provide personal care and help with daily living rather than skilled nursing, the PSSA license is your door.

How to use it. Read Parts 1 through 4 before you spend real money — they explain what the license authorizes and exactly how to get it, including Tennessee's document-driven application, its electronic desk audit, and its background-screening and worker-competency rules. Parts 5 and 6 are about revenue: where clients come from and how you get paid, including TennCare CHOICES and its electronic visit verification. Parts 7 through 9 keep you compliant once you are open. The two worked examples show how it comes together in a metro market, and the contacts, glossary, and references at the end are your quick-reference desk. Verify every fee, figure, and phone number before you rely on it — requirements change.

The big picture

Tennessee licenses non-medical home care as a **personal support services agency (PSSA)** under 0940-05-38, through the **TDMHSAS Office of Licensure**. There is no Certificate of Need and no fire/life-safety inspection; the initial licensure inspection is an electronic desk audit, and a home office is allowed. You apply to a regional Office of Licensure with your policies, an employee training manual, financial documentation, insurance, and background screening. Workers must demonstrate documented competency before they start, and you make a documented on-site supervisory visit at least every thirty days. Most non-medical work is private pay, while TennCare CHOICES services are billed through the managed care organizations with electronic visit verification.

The Path at a Glance

1. **Form your business.** Register with the Tennessee Secretary of State, get an EIN and an NPI, and register for applicable Tennessee taxes.
2. **Build your program.** Write your policies and procedures to 0940-05-38 and your employee training manual, and prepare your financial documentation.
3. **Line up screening and insurance.** Set up background screening (criminal, sex-offender registry, parole/probation, vulnerable-adult abuse registry) and liability and workers' compensation coverage.
4. **Apply to the regional Office of Licensure.** Submit the application and the required checklist documents to the appropriate TDMHSAS regional office; pay the fee.
5. **Pass the desk audit.** The initial inspection is an electronic desk audit of your documentation; respond to any deficiency with a plan of correction.
6. **Hire and prepare your team.** Complete background screening and document each worker's competency before they serve a recipient.
7. **Enroll with payers.** For TennCare, contract with the CHOICES managed care organizations and set up electronic visit verification.
8. **Open and supervise.** Serve recipients under service plans, make documented supervisory visits at least every thirty days, and keep your records survey-ready.

Part 1 — What a Tennessee Personal Support Services Agency Is

A **personal support services agency (PSSA)** is an agency licensed under Tenn. Comp. R. & Regs. Chapter 0940-05-38 to provide non-medical personal support services to service recipients in their residence. Those services are self-care assistance and activities of daily living (bathing, dressing, grooming, toileting, eating, mobility, and transfers), homemaker services, sitter and companion services, and in-home respite. A PSSA does not provide skilled nursing, therapy, or any medical service.

Who oversees you

The scope line to respect

A personal support services agency and its workers provide personal care and help with daily living, homemaking, companionship, and respite — not skilled nursing, therapy, or medical care. Any medication assistance is limited: it is offered only if the agency chooses to, only with written authorization, and only after training conducted by or under a registered nurse. Know which service you are providing, and staff and document it accordingly.

Part 2 — Getting Licensed (0940-05-38)

Step 1 — Form the business and prepare documentation

Step 2 — Write your policies and training manual

Step 3 — Set up screening and insurance

Step 4 — Apply and pass the desk audit

A relatively low barrier, done right

No Certificate of Need, no fire inspection, a home office allowed, and a desk-audit initial review make Tennessee's barrier to entry relatively low. That is an opportunity — but the agencies that thrive treat the policy manual, background screening, worker competency, and thirty-day supervision as real operations, not paperwork.

Part 3 — Governance, Staffing, Screening & Training

Governance

Background screening

Worker competency before service

Supervision

Part 4 — Setting Up the Business

- **Entity & registration.** Register your LLC or corporation with the Tennessee Secretary of State (sos.tn.gov).
- **Tax & identifiers.** Get an EIN from the IRS and an NPI, and register for applicable Tennessee taxes with the Department of Revenue.
- **Insurance.** Carry liability insurance and workers' compensation coverage appropriate to a personal support services agency (commonly one million dollars each); keep proof.
- **Financial documentation.** Prepare the evidence of ability to meet operating expenses that the state requires.
- **Office.** A home office is allowed during application; use a legitimate physical address, not a PO box.

Employees, not contractors

Employ your personal support services workers as W-2 employees, not 1099 contractors. That keeps supervision, screening, and training within your control and responsibility — and paying caregivers as contractors is a red flag to families and payers alike.

Part 5 — Finding Clients

- **Hospital discharge planners and case managers** arrange in-home support for patients going home — the single most valuable relationship for a new agency.
- **Skilled nursing and rehab facilities** discharge patients who still need help at home.
- **The aging network** — Tennessee's Area Agencies on Aging and Disability (AAADs) — helps families find services and screens for TennCare CHOICES.
- **Hospices, assisted living communities, elder-law attorneys, and geriatric care managers** all meet families at decision points and refer trusted providers.
- **TennCare CHOICES care coordinators** at the managed care organizations authorize and coordinate services; clean documentation and EVV compliance keep referrals coming.

Part 6 — Getting Paid

Funding source	What it covers	How to access it
Private pay	Any service the client agrees to; the most common source for non-medical personal care	Your disclosed rates and a service agreement; bill the client or representative directly
TennCare CHOICES	Personal care, homemaker, and in-home respite for eligible members needing long-term services and supports	Contract with the CHOICES managed care organizations; bill per authorization; use electronic visit verification
TennCare ECF CHOICES	Home and community services for eligible people with intellectual/developmental disabilities	Contract as required and follow ECF CHOICES documentation and EVV rules
Veterans programs	In-home support for eligible veterans	Coordinate with the VA (1-877-222-8387) and applicable community-care networks
Long-term care insurance	In-home care covered by the client's policy	Verify the client's benefits; bill per the policy's requirements

Electronic Visit Verification (EVV)

Part 7 — Staying Compliant

- **Supervise on schedule.** Make a documented on-site supervisory visit at least every thirty days for each active recipient.
- **Report incidents and abuse.** Report critical incidents to the TDMHSAS Office of Licensure, and report suspected abuse, neglect, or exploitation to Tennessee Adult Protective Services at 1-888-277-8366 (call 911 in immediate danger).
- **Keep screening and training current.** Track background re-screening, worker competency, annual training, and recipient-specific training so none lapses.
- **Follow labor law.** Employ caregivers as W-2 employees and comply with the federal Fair Labor Standards Act (Tennessee has no state minimum wage), including overtime over forty hours a week.
- **Stay survey-ready.** Keep policies implemented, records complete, and your documentation consistent with EVV — reviews and complaint investigations can be unannounced.

Part 8 — Your First 90 Days

1. **Weeks 1–2.** Finalize onboarding: confirm background screening and documented competency for every hire; set your thirty-day supervisory-visit calendar.
2. **Weeks 3–4.** Complete TennCare contracting if you bill TennCare; finish EVV setup with each managed care organization and test it.
3. **Weeks 5–8.** Introduce yourself to discharge planners, the AAAD, and two or three referral partners a week; leave a simple one-page overview.
4. **Weeks 9–12.** Run your first quality review: check documentation, supervisory-visit timeliness, and any complaints; fix what you find.

Part 9 — Common Mistakes to Avoid

- **Applying to the wrong agency.** Non-medical home care is licensed by TDMHSAS as a PSSA (0940-05-38), not by the Health Facilities Commission and not by the Department of Disability and Aging.
- **Using generic policies.** Tennessee reviewers reject policies that don't reference 0940-05-38 specifically; build a Tennessee-specific manual.
- **Letting a worker start before competency.** Background screening and documented competency in the seven areas must be complete first.
- **Missing thirty-day supervisory visits.** Missed supervisory visits are a common, avoidable deficiency — schedule them.
- **Billing without EVV alignment.** For TennCare, claims that don't match EVV records get denied or recouped.
- **Paying caregivers as 1099 contractors.** Employ them as W-2 employees; misclassification creates tax, labor, and liability exposure.

Worked Example 1 — Nashville

Your first referral calls

For...	Who to contact
TriStar Centennial Medical Center — case management / discharge	2300 Patterson St, Nashville 37203 · 615-342-1000
Vanderbilt University Medical Center — case management / discharge	1211 Medical Center Dr, Nashville 37232 · 615-322-5000
Ascension Saint Thomas Hospital Midtown — case management	2000 Church St, Nashville 37203 · 615-284-5555
Nashville General Hospital — case management / discharge	1818 Albion St, Nashville 37208 · 615-341-4000
Green Hills Center for Rehabilitation & Healing — discharge planning	3939 Hillsboro Cir, Nashville 37215 · 615-297-2100

Worked Example 2 — Memphis

Your first referral calls

For...	Who to contact
Baptist Memorial Hospital-Memphis — case management	6019 Walnut Grove Rd, Memphis 38120 · 901-226-5000
Methodist University Hospital — case management / discharge	1265 Union Ave, Memphis 38104 · 901-516-7000
Saint Francis Hospital-Memphis — case management	5959 Park Ave, Memphis 38119 · 901-765-1000
Regional One Health — case management / discharge	877 Jefferson Ave, Memphis 38103 · 901-545-7100
Aging Commission of the Mid-South (AAAD, West TN)	Reach through the statewide AAAD network · tn.gov

Who to Call — Tennessee Quick Directory

For...	Who to contact
TDMHSAS — Office of Licensure (PSSA licensing)	tn.gov/behavioral-health/licensing.html · regional offices (East / Middle / West); West TN e.g. 731-984-9684
TennCare — CHOICES (long-term services & supports)	tn.gov/tenncare/long-term-services-supports/choices.html
TennCare EVV (open model — Sandata aggregator)	Confirm the EVV system with each contracted managed care organization
TN Secretary of State (business registration)	615-741-2286 · sos.tn.gov
TN Department of Revenue (business tax)	615-253-0600 · tn.gov/revenue
TN Department of Labor & Workforce Development	844-224-5818 · tn.gov/workforce
Adult Protective Services (report abuse/neglect/exploitation)	1-888-277-8366 (24/7) · 911 if in immediate danger
TN Dept of Children's Services (child abuse reporting)	1-877-237-0004
Area Agencies on Aging & Disability (aging network)	1-866-836-6678 · tn.gov
Eldercare Locator (national)	1-800-677-1116 · eldercare.acl.gov

Glossary

- **PSSA** — personal support services agency, the non-medical home care license under Tenn. Comp. R. & Regs. 0940-05-38.
- **0940-05-38** — the current Tennessee rule setting the minimum program requirements for personal support services agencies.
- **TDMHSAS** — the Tennessee Department of Mental Health and Substance Abuse Services, whose Office of Licensure licenses PSSAs.
- **Service recipient** — the rule's term for an individual who receives personal support services.
- **Electronic desk audit** — the initial PSSA licensure inspection, conducted as a review of documentation rather than an on-site visit.
- **TennCare CHOICES** — Tennessee's Medicaid long-term services and supports program, delivered through managed care organizations.
- **AAAD** — Area Agency on Aging and Disability, the regional aging-network entity that helps families and screens for CHOICES.
- **EVV** — electronic visit verification; Tennessee uses an open model with the state Sandata aggregator and integrated systems.
- **Competency-based training** — Tennessee's training standard: documented competency in required areas before service, plus annual and recipient-specific training (no fixed hour count).

Core Rules & References

- Tenn. Comp. R. & Regs. Chapter 0940-05-38 — Minimum Program Requirements for Personal Support Services Agencies.
- T.C.A. Title 33 (including § 33-2-421) — statutory basis for TDMHSAS licensure of personal support services agencies.
- T.C.A. Title 71, Chapter 6 — Adult Protection Act (reporting abuse, neglect, and exploitation to Adult Protective Services).
- T.C.A. § 63-7-102 — registered-nurse supervision of medication-assistance training.
- 21st Century Cures Act; TennCare EVV requirements — electronic visit verification for personal care services.
- Fair Labor Standards Act — minimum wage and overtime (Tennessee has no state minimum wage); T.C.A. Title 50 — workers' compensation.

This guide is general educational information, not legal, tax, or accreditation advice. Tennessee rules, fees, programs, and phone numbers change — verify each with the TDMHSAS Office of Licensure and the relevant payer or authority before you rely on it.